Higher the current ratio, the better is the liquidity position, as the firm will be in a better position to pay its current liabilities. However, a much higher ratio may indicate inefficient investment policies of the management.



Operating cycle is the time between the acquisition of an asset for processing and its realisation into cash and cash equivalents.

Illustration 1

Calculate current ratio from the following information:

Particulars	₹	Particulars	₹
Current investments	80,000	Trade creditors	1,60,000
Inventories	1,60,000	Bills payable	1,00,000
Trade receivables	4,00,000	Expenses payable	1,40,000
Cash and cash equivalents	1,20,000		
Prepaid expenses	40,000		

Solution

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}} = \frac{8,00,000}{4,00,000} = 2:1$$

Current assets = Current investments + Inventories + Trade receivables + Cash and cash equivalents + Prepaid expenses
= 80,000 + 1,60,000 + 4,00,000 + 1,20,000 + 40,000 = ₹ 8,00,000

Current liabilities = Trade creditors +Bills payable + Expenses payable
= 1,60,000 + 1,00,000 + 1,40,000 = ₹ 4,00,000

(ii) Quick ratio

Quick ratio gives the proportion of quick assets to current liabilities. It indicates whether the business concern is in a position to pay its current liabilities as and when they become due, out of its quick assets. Quick assets are current assets excluding inventories and prepaid expenses. It is otherwise called liquid ratio or acid test ratio. It is calculated as follows:

$$\text{Quick ratio} = \frac{\text{Quick assets}}{\text{Current liabilities}}$$

Quick assets = Current assets – Inventories – Prepaid expenses

Higher the quick ratio, better is the short-term financial position of an enterprise.



Inventory is not considered as liquid asset because it takes some time to sell the inventory and to convert into cash. Similarly, prepaid expenses are not considered as liquid assets because these are expenses paid in advance. These cannot be converted into cash and only the benefit can be derived and are thus excluded from liquid assets.

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